

Payments, Processors & IT Services

PayPal + Stripe Round 2? The deal that could reshape global payments. But can it happen? And at \$60.50?



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Reuters reported late last night ([link](#)) that Stripe (private) and Advent have submitted a \$60.50/share bid (would value PayPal at \$53B, +28% from Tuesday's price) for PayPal, supported by \$50B committed financing. The proposal was reportedly made in July after an initial approach in April. This follows news in February that PayPal is attracting takeover interest from multiple parties, and Stripe had expressed a preliminary interest in acquiring all or parts of PayPal ([link](#)). PayPal shares are up 16% in pre-market to \$56.

As we have highlighted in our prior research, at < \$50 PYPL stock (pre-deal price), strategic actions (M&A, divestitures) cannot be ruled out. For a company with waterfront properties (Braintree, Venmo) and 231m monthly active users, 67m for Venmo (~20% of US population; highly attractive Gen Z skew), reach across ~90% of online merchants, \$1.8T in volumes, double-digit % share in e-commerce processing in the U.S. and ~50% share within digital wallets - **it's not a surprise to us that buyers are circling** post the significant sell-off even though the branded business is challenged.

We believe it is highly unlikely that the board accepts a bid which doesn't incorporate a more significant deal premium on PayPal's all-time low valuation, considering its fortress balance sheet and ~15% FCF yield. There are also other strategic options e.g., selling Venmo, Braintree and Branded separately - especially since the check (for the entirety of PayPal) is too big to write for many. Stripe's acquisition rumor came on the back of its own valuation marked up to \$159B in Feb. Note that PayPal's new CEO just did a reorg of the company across checkout solutions, Venmo and Braintree and targeting \$1.5B+ of cost savings over 2-3 years. Accepting a bid which is only 28% above current price and near PayPal's lowest valuation since its IPO is unlikely.

There is then the massive financing task — especially since Stripe has shown no interest in becoming public. The financing may become more complicated if the deal price goes up. Stripe and Advent have \$50bn in committed financing (on a \$53B proposal) and the goal may be to likely lever PayPal's fortress balance sheet (with net cash position) and ~\$6B/yr FCF generation. That said, this could push PayPal's leverage quite high (potentially to 5-6x) - for a business with potentially declining FCF.

The **deal also faces significant regulatory hurdles given the combined scale of the two companies.** We believe that Stripe/Advent will likely make the argument, however, that digital payments are highly competitive with numerous acquirers and digital wallets/BNPL options.

It may potentially be possible that Stripe pursues only specific assets rather than the entire company. There are also cultural, and infrastructure challenges associated with integrating modern architecture with legacy systems, and the complexity of a B2B company owning B2C customer service infrastructure.

Stripe's potential interest in PayPal could also spur a bidding war (e.g., for Braintree and Venmo) **with other prospective buyers (continued on the next page).**

DETAILS

[continued from 1st page]

Why Stripe might be interested in PayPal?

- There are probably multifold reasons: **scale-driven horizontal and vertical consolidation** (through branded and Braintree), **further market-share expansion** through bundling (precisely what PayPal did with Braintree), **an improved value proposition for merchants** (e.g., better conversion, lower fraud through ownership of the PayPal digital wallet), **cross-sell opportunities** (e.g., Stripe products into PayPal's massive SMB and enterprise base), **closed-loop optionality** (better economics and data), and a growing willingness to expand further into the consumer side. Note that Stripe already has the Link product—which is an order of magnitude smaller vs. PayPal.
- There is also meaningful **agentic optionality**, where integrating PayPal's vast consumer infrastructure (BNPL, debit cards, data) with Stripe's merchant distribution could be valuable in an agentic commerce era.
- Finally, **Stablecoins could present an interesting angle** - post Stripe's recent infrastructure investments (Bridge) and product launches (Stablecoins as a Service) - PayPal can give Stripe an avenue for Stablecoin payments (e.g., for cross-border B2B and payouts). PayPal also owns PYUSD (\$3B in market cap).

This would, however, take Stripe deeper into consumer-facing territory

- Potentially creating some conflict with some existing customers such as Shopify which has Shop Pay (frenemy to PayPal), BNPL providers (e.g. Klarna, which relies on Stripe as a key distribution partner), bank partners (banks view PayPal as a potential competitor) and potentially the networks as well.

Also note that Advent is not new to Payments having previously been involved in Vantiv, Worldpay, Nexi and Nuvei.

Other possible suitors (for the entire entity including core, and separately for Braintree, Venmo) that could emerge in our view:

All of PayPal (a big ~\$50B+ check to write including M&A premium)

- **More likely: Private Equity** (PayPal is currently trading at 14% 2026 FCF yield and has a pristine balance sheet).
- **Less likely but possible - Elon Musk** (fits in with everything-app strategy and X-Money), **large banks e.g., JPM** (regulatory scrutiny; likely more interested in diminishing PayPal than acquiring it as a whole), **tech giants** (strategically could be valuable but **faces significant regulatory hurdles**) and **Amex** (likely more interested in just Venmo).
- **Wildcard: Walmart** (historically under-indexed in financial services, current CFO is PayPal's ex-CFO; Walmart is not new to Fintech e.g., PhonePe, OnePay)

Braintree (likely a \$10-20B check to write; comps' public valuation currently depressed)

- **Many possible suitors for horizontal consolidation including J.P. Morgan** (largest merchant acquirer online)
- **Less likely** - Fiserv (has its own challenges and is already 3x levered, big check to write compared to market cap for Braintree).
- Players such as Adyen are non-acquisitive so highly unlikely as a buyer.

Venmo (possibly ~\$10-20B check to write)

- **Many possible suitors including Revolut** (prized P2P capability asset), **banks including JPM** (P2P is strategically valuable to protect customer relationships) and **Amex** (Gen Z synergy, already existing partnership).
- **Less likely:** Affirm (Venmo/PayPal strategically valuable but Affirm doesn't have sufficient scale to and unlikely that PayPal sells to a competitor; interestingly Max Levchin was a co-founder at PayPal).

- **Crypto heavy firms** (e.g., Robinhood) are a wildcard.

The implications of this potential deal go far beyond Stripe and PayPal.

The combined scale of the two companies will be breathtaking: ~\$3.2T of payment volumes (ex-PayPal P2P), ~\$20B of *net* revenues (using PayPal gross profit for like-for-like comparison), FCF machine (PayPal generates \$6B, Stripe is also cash generative with potentially ~\$3B in FCF), 231m consumers, > 30% of global e-commerce and > 40% of U.S. e-commerce. This is likely a long-term negative for Adyen - not least because of the horizontal and vertical consolidation by Stripe. It is likely even more negative for legacy e-commerce acquirers (e.g., WP owned by GPN).

While being inconsequential to the medium-term numbers, **this is also a long-term negative for Visa/Mastercard** as the combination puts Stripe more in the formidable frenemy category (vs. a critical distribution partner historically). Even banks ought to be worried - Jamie Dimon has called out Fintechs including Stripe as his biggest competitors.

Putting a floor on fintech valuations by embedding an M&A premium?

- **On a high level, PayPal possibly attracting suitors at these rock bottom valuation levels potentially could put a floor across the sell off in fintech.** Strategic buyers and PE would likely see greater value than public market investors.
- See our recent note: 12 Jun 2026 - [Payments/Fintech: Stocks near 10yr lows – is it time for bold actions?](#)

INVESTMENT IMPLIATIONS

We rate V, MA, ADYEN, XYZ, TOST Outperform. We rate PYPL, FIS, FISV, GPN, KLAR Market-Perform.

BERNSTEIN TICKER TABLE

Ticker	Rating	14 Jul 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
V (Visa)	O	USD	356.02	450.00	(17.7)%	USD	11.47	13.17	15.16	31.0	27.0	23.5
MA (Mastercard)	O	USD	538.02	710.00	(22.6)%	USD	17.01	19.82	22.82	31.6	27.1	23.6
ADYEN.NA (Adyen)	O	EUR	827.50	1,600.00	(62.5)%	EUR	33.62	42.83	51.05	24.6	19.3	16.2
ADY.EY (Adyen)	O	USD	9.32	18.63	(67.0)%	USD	0.39	0.50	0.60	23.8	18.5	15.6
XYZ (Block Inc)	O	USD	79.99	85.00	0.8%	USD	2,084	3,347	4,700	44.2%	50.2%	32.0%
TOST (Toast)	O	USD	30.00	39.00	(52.7)%	USD	633.00	802.78	990.80	24.7	19.5	15.8
PYPL (PayPal)	M	USD	47.37	45.00	(55.4)%	USD	5.31	5.23	5.30	8.9	9.0	8.9
FIS (FIS)	M	USD	40.58	73.00	(68.8)%	USD	5.76	6.30	6.91	7.0	6.4	5.9
FISV (Fiserv)	M	USD	49.54	76.00	(90.2)%	USD	8.64	8.06	8.76	5.7	6.1	5.7
GP.N (Global Payments)	M	USD	75.89	86.00	(22.6)%	USD	12.22	13.89	16.13	6.2	5.5	4.7
KLAR (Klarna)	M	USD	19.63	20.00	NA	USD	65.1	305.3	461.7	62.5	13.3	8.8
SPX			7,543.59									
EDME			1,594.78									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

XYZ estimate is EBIT (M); TOST estimate is EBITDA (M); KLAR estimate is Adjusted EBIT; XYZ valuation is EBIT CAGR; TOST valuation is EV/EBITDA (x);

KLAR valuation is EV/Adj EBIT (x);

Source: Bloomberg, Bernstein estimates and analysis.

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